Declining Customer Engagement and Conversion: Root Causes & Growth Opportunities

May
20
25

Performance Analysis, Root Causes & Strategic Recommendations

SHOP.COM
We - Promise - Comfort

Executive Summary

Key Takeaways

- Conversion rate declined from 11.58% (2023) to 8.55% (2025).
- Website traffic dropped from approximately 5,000,203 views to 1,096,704 views.
- Significant customer drop-off occurs after clicks.
- Customer ratings remain moderate at 3.69/5.

Root Causes

- Declining traffic volume
- High-traffic products not converting
- Falling content engagement
- Customer experience concerns

Recommended Actions

- Optimize low-converting high-traffic products
- Improve checkout journey
- Revamp content strategy
- Address customer dissatisfaction

Business Impact

The Core Challenge

Traffic and Conversion Are Declining Simultaneously

Multi-Year Trend Metric Matrix

Year	Total Views	Conversion Rate	Annual Trend
2023	5,000,203	**11.58%**	**High Baseline**
2024	2,982,369	**8.48%**	**-26.7% Drop**
2025	1,096,704	**8.55%**	**Volume Collapse**
Total	**9,079,276**	**9.57%**	**Average Overall**

💡Key Strategic Insight

The business is suffering from a double compounding friction: we are attracting **78% fewer total visitors** while simultaneously converting a **26% smaller fraction** of those visitors into paid buyers.

> **Imperative: Fix post-click landing page friction while stabilizing top-of-funnel reach.**

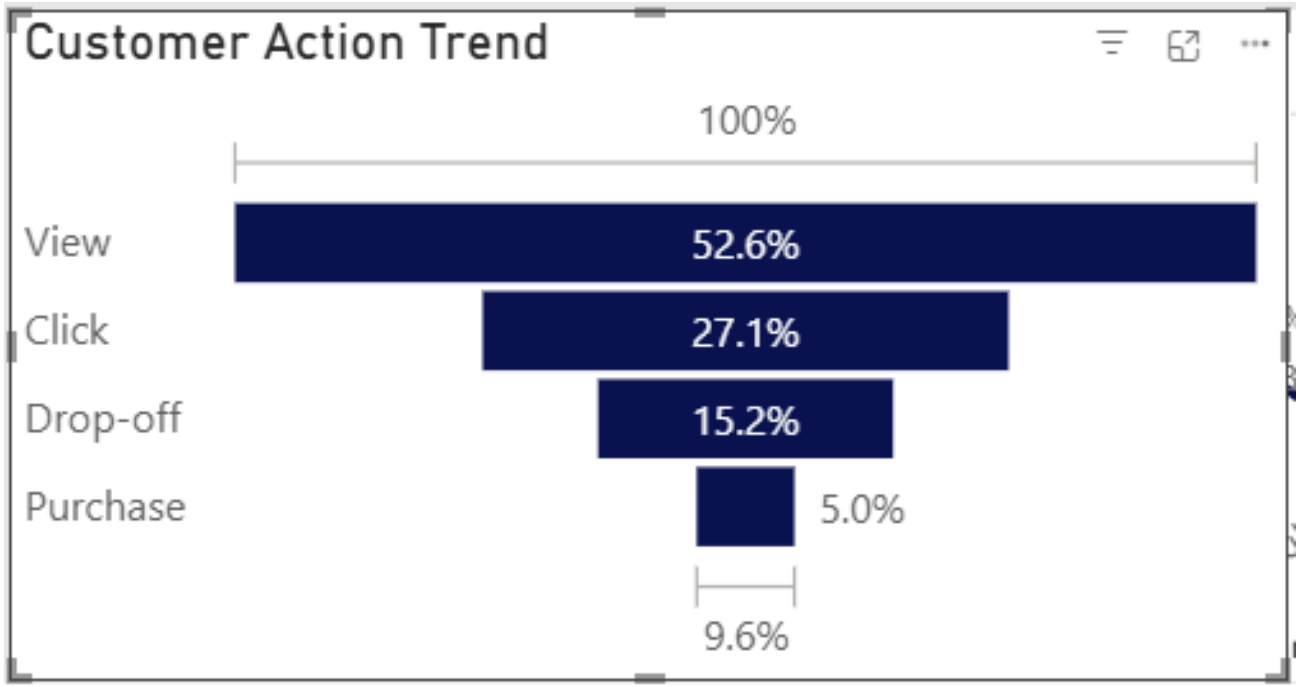
Key insight:

The business is attracting fewer visitors and converting a smaller percentage of those visitors into buyers.

Customer Funnel

Where Are We Losing Customers?

Largest Revenue Leakage Occurs Between Click and Purchase



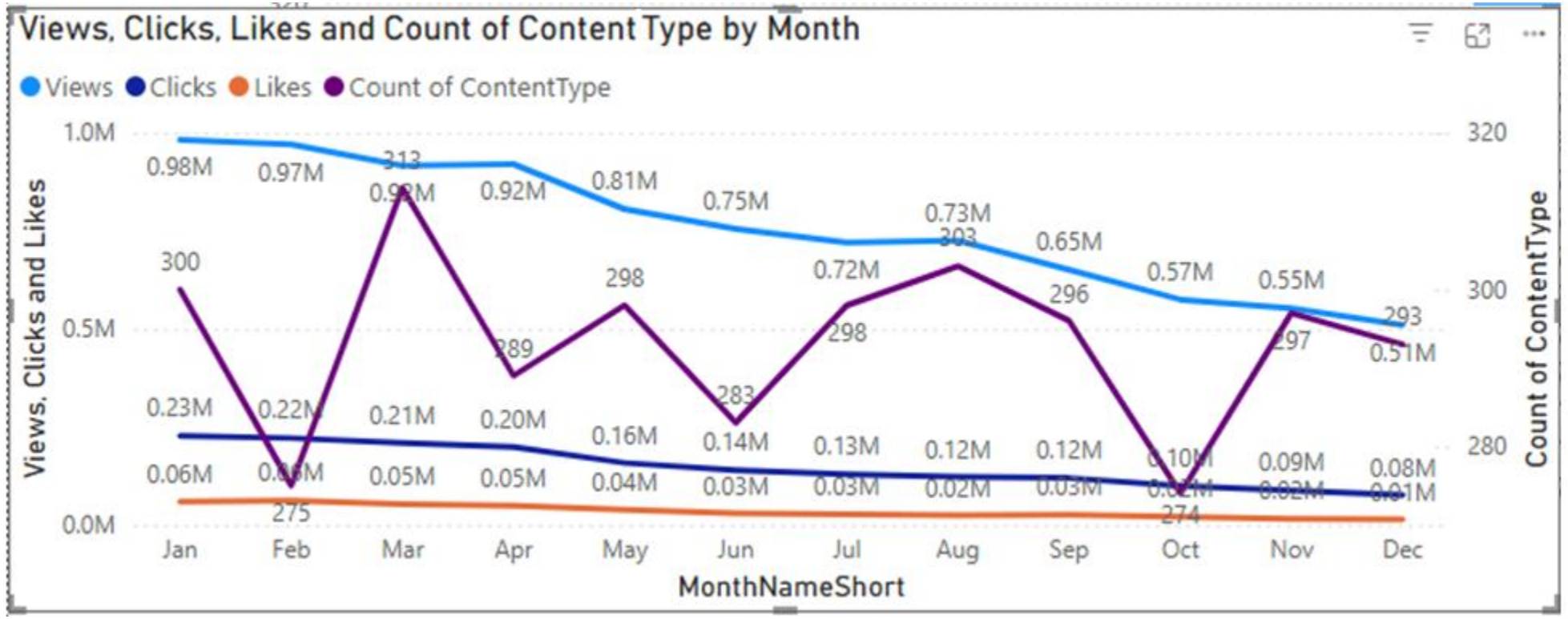
Key insight:

Content successfully generates awareness and clicks.

The biggest opportunity is improving conversion after the click.

Traffic vs Content Volume

Content Volume Is Stable, But Reach Is Falling

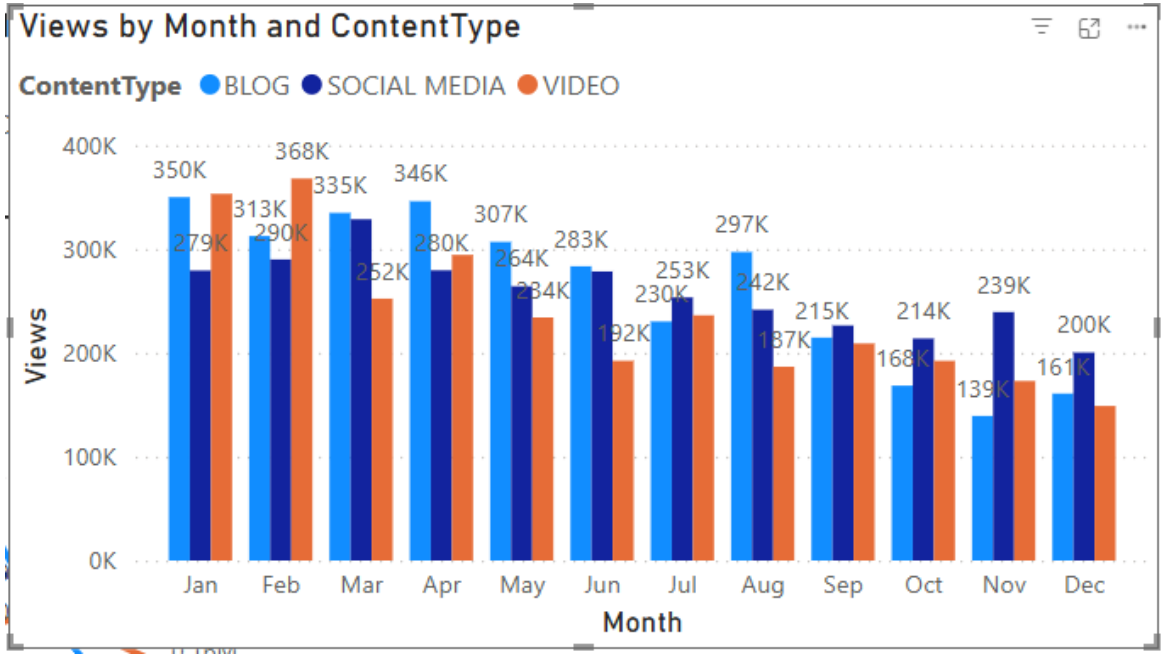


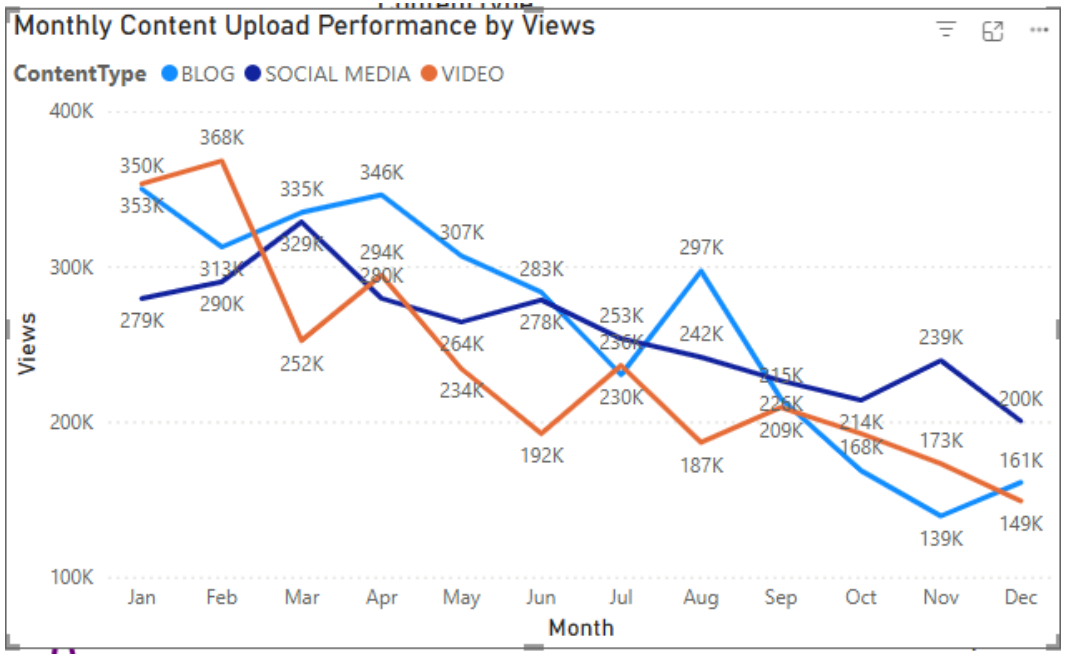
Business Interpretation

- The issue is not publishing frequency. Approximately 294 content pieces uploaded monthly
- The issue is content effectiveness.

Content Performance

Blogs and Videos Consistently Outperform Social Media





High Performers

- Blog content
- Video content

Underperformer

- Social media content

Action

Reallocate content resources toward formats that consistently generate engagement.

Product Performance

Marketing Attention Is Focused on the Wrong Products

High-visibility products are not the highest converters.

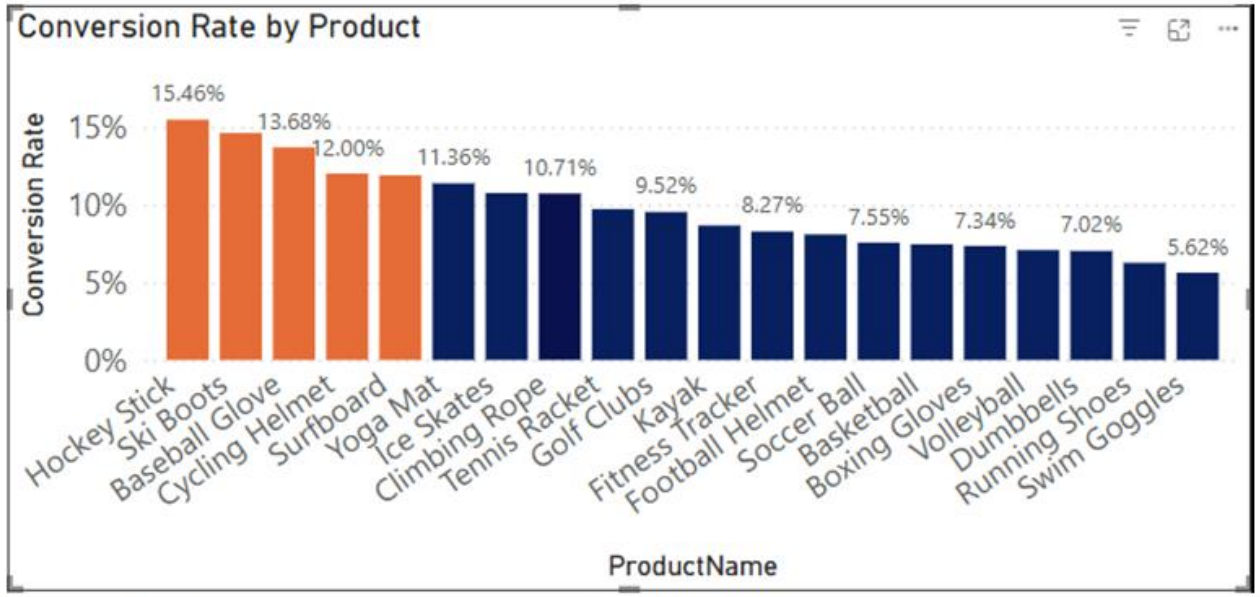
High Views + Low Conversion

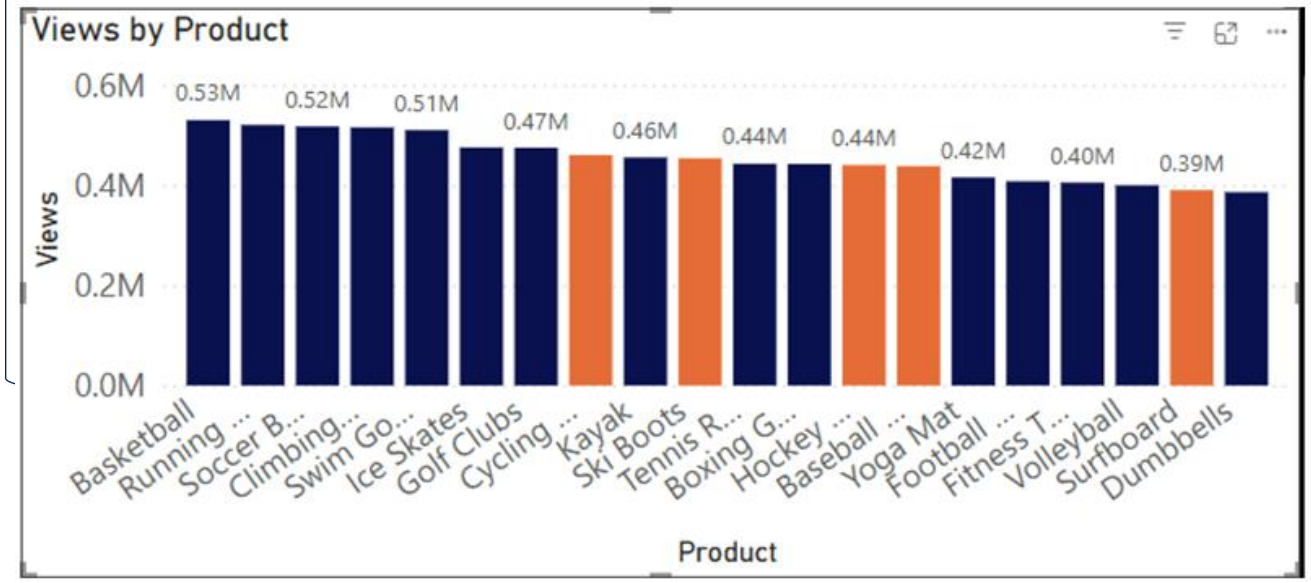
- Basketball
- Running Shoes
- Soccer

Lower Views + High Conversion

- Hockey Stick
- Ski Boots
- Baseball Glove

High-converting products receive less traffic than lower-converting products.





Opportunity

Increase exposure of proven high-converting products.

Customer Feedback Insights

Customer Reviews Reveal Key Purchase Barriers

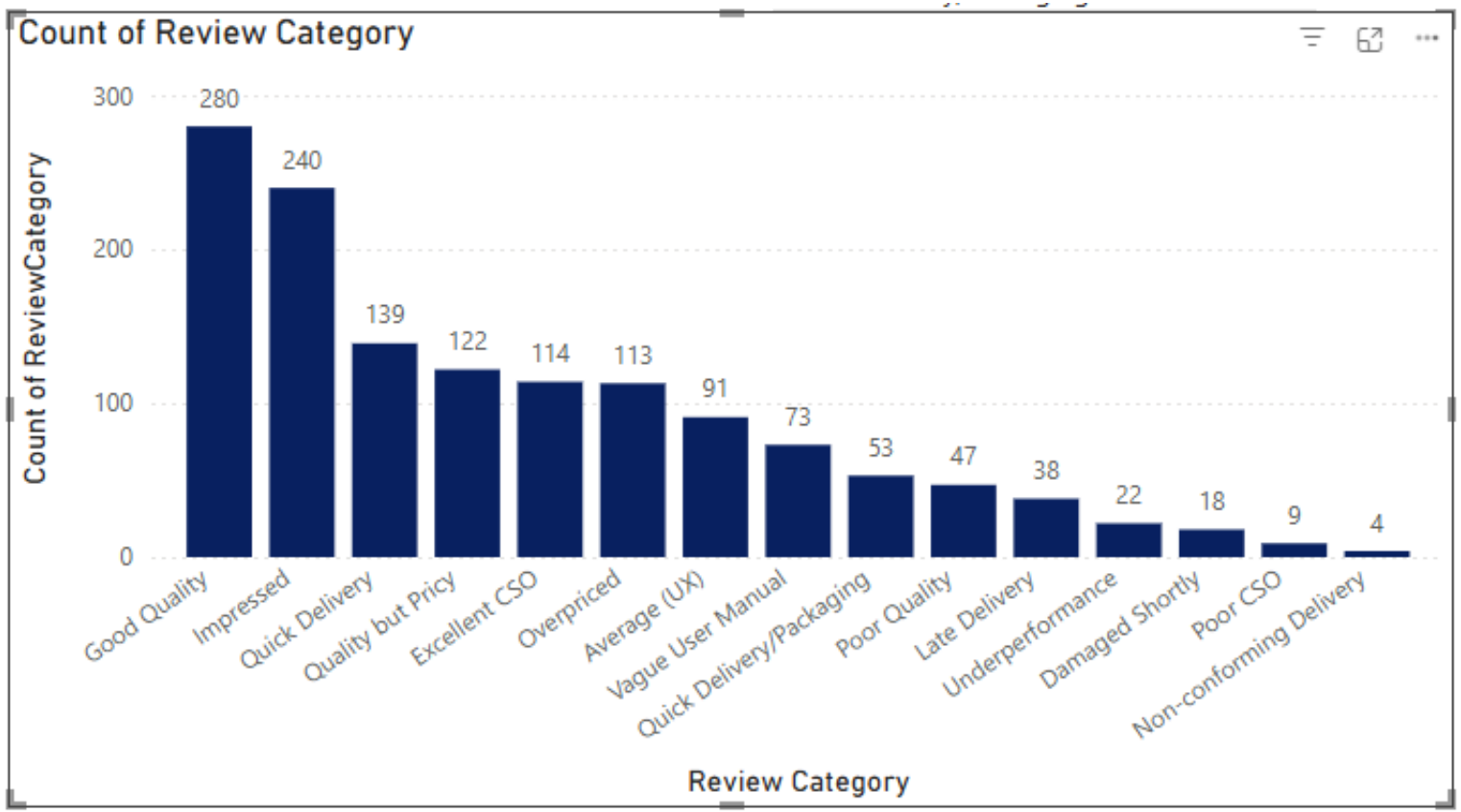
Ratings and reviews identify pricing, delivery and quality concerns.

Positive Feedback

- Product quality
- Quick delivery
- Good customer service

Negative Feedback

- Pricing concerns
- Poor quality concerns
- Delivery issues
- Customer service issues
- Product performance issues



Customer Reviews By Perception of Product

Insight

Customer experience is limiting conversion growth

Root Cause Analysis

Traffic, content, product alignment and customer experience drive conversion decline.

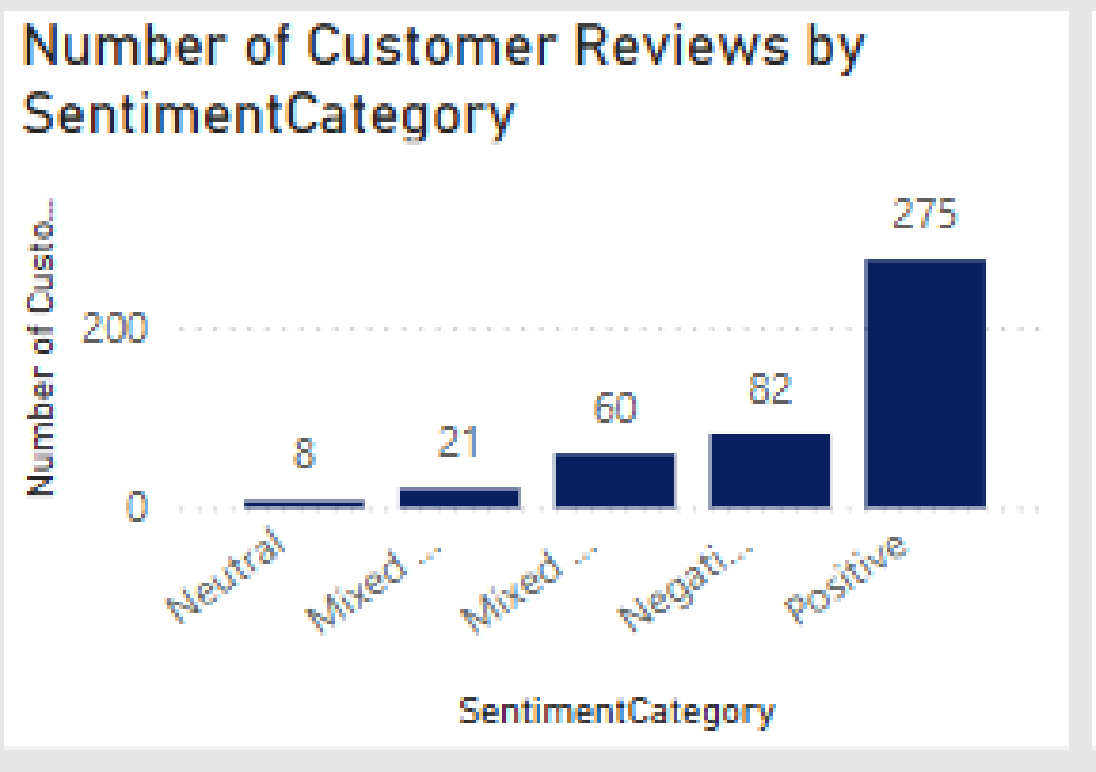
Why Conversion Is Falling

Traffic Problem
- Overall reach is declining

Content Problem
- Social media engagement weakening

Product Problem
- Traffic concentrated on lower-converting products

Customer Experience Problem
- Ratings below desired benchmark
- Negative and mixed reviews remain significant



Customer Reviews By Sentiment Category

Priority Recommendations to Reverse Conversion Decline

Priority 1

Optimize Top Products

- Improve landing pages
- Strengthen Calls-to-Action (CTAs)
- Improve product descriptions

Priority 2

Reduce Funnel Drop-off

- Improve checkout experience
- Review pricing transparency
- Improve page speed

Priority 3

Content Optimization

- Increase use of blogs and videos
- Reduce ineffective content formats
- A/B test creatives

Priority 4

CX Improvements

- Address negative reviews
- Improve support processes
- Improve delivery experience
- Loyalty Program

Priority

Short Term Action **Medium Term Action** **Long Term Action**

Management should prioritize product-page optimization, checkout improvements, content strategy and customer experience.

Expected Business Outcomes

Success Metrics

Track/Monitor:

Business objective	KPI
Recover website traffic	Monthly website views
Improve conversion	Conversion rate
Improve product engagement	Product page CTR
Reduce lost sales	Checkout abandonment rate
Improve customer experience	Average rating
Increase customer retention	Repeat purchase rate

Conclusion

Final Takeaway

The decline in conversion is driven by four interconnected issues:
1.Reduced traffic
2.Weakening engagement
3.Product-content misalignment
4.Customer experience challenges

Addressing the four root causes should improve engagement and conversion performance.

CONCLUSION

Addressing the 4 Interconnected Root Causes Will Drive Sustainable Growth

By aligning ad spend with high-converting products, optimizing video/blog formats, and fixing post-click landing page friction, Shop.Com can restore revenue momentum.

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